

There are two types of sentiment. There is the popular sentiment, as it might be expressed in the media, and then there is the sentiment that is expressed by the market. When Joe talks about sentiment, he is referring to how the market responds to external events. What is the news? What is the price action? That is what generates his view of the markets. A stock being down after a good earnings report would be an example of negative sentiment. That is how Joe thinks about sentiment.

I was confused because most people use the word sentiment to refer to some measure of how bullish or bearish the public is. In the popular usage, bullish sentiment is bearish, whereas the way Joe uses the term, bullish sentiment—a more positive response to market news than expected—is bullish.

The use of sentiment as a contrary indicator reminds me of a funny story. In 1999, a longtime friend of mine visited me in my New York office. He is a brilliant guy. He went to Harvard, got a PhD at Penn, and ended up doing work on semantics, artificial intelligence, and computer language.

I asked him, “So, Bill, what are you doing with your investments these days?”

He answered, “I am 100 percent in tech stocks.”

I said, “Wow, do you really think that is a prudent place to be?”

“Well,” he said, “I have a lot of expenses, and I need the extra return.”

I thought to myself, *If that is the way other people are thinking and acting, we are really in trouble. This is all going to end very badly.* That friend, as brilliant as he is, has always been wrong about stocks, and I’ve used him as a contrary indicator.

[Vidich returns after about 20 minutes, and we continue the interview.]

What are examples of market response reflecting positive or negative sentiment?

Just recently, Rockwell Automation (ROK) raised guidance for the year, and the stock is down \$9. What does that tell you? It tells you even though earnings are currently increasing, smart investors—there are a lot smarter guys out there than I am—are anticipating a major inflection point in earnings in the next few months.